Leveraging Generative AI for Operational Excellence & EBITDA Expansion

GWBD Operations, Inc. · Leveraging Generative AI to Scale a 145-Year American Manufacturing Legacy Across Three Brands

PREPARED BY CHIEF AI OFFICER

CONFIDENTIAL

Company at a Glance

$65M

Revenue

Midpoint estimate · Privately held

~200

Employees

Three subsidiaries · Facilities in MO & KY

145

Years Operating

PRIER Products founded 1881

3

Brands

PRIER Products · Stern-Williams · FIAT Products

3

Acquisitions Since 2007

Active roll-up strategy

GWBD Operations is a family-owned holding company headquartered in Grandview, Missouri that manufactures plumbing brass, hydrants, freezeless faucets, terrazzo sinks, mop basins, and shower modules through three American brands. CEO Joe Poskin has led the company since 1994, with son Brady Poskin serving as Chief Strategy Officer driving acquisition-led growth.

Notable Milestone: $7.5M Advantage Capital investment in 2022 to finance the FIAT Products acquisition, adding a 268,000 sq ft manufacturing facility in Somerset, Kentucky.

The Opportunity

Acquisition Integration Advantage

Three acquired brands operating across multiple facilities create natural complexity in processes, systems, and data. AI-driven standardization can unlock margin expansion faster than organic process improvement — turning integration cost into competitive advantage.

First-Mover in a Traditional Tier

Direct competitors (Woodford, Merrill, Simmons) show zero evidence of AI or digital transformation investment. Meanwhile, billion-dollar rivals like Watts Water Technologies are aggressively hiring AI developers and launching IoT platforms. GWBD has a narrow window to leapfrog its peer set before the gap becomes permanent.

Margin Expansion Through Scale Without Headcount

GWBD's roll-up strategy demands scaling sales, operations, and back-office functions across each new acquisition. AI enables the company to absorb future acquisitions without proportional SG&A growth — preserving the family-owned model while achieving institutional-grade efficiency.

Current Landscape — Why Act Now

📉 Margin Pressure

Fabricated metal manufacturing EBITDA margins average 8–12%. Brass and copper input costs remain elevated. Tariff uncertainty on imported metals adds pricing volatility.

👷 Labor Escalation

For every 5 skilled tradespeople retiring, only 1 enters an apprenticeship. Foundry and CNC operators increasingly scarce. Multi-facility staffing across MO and KY compounds recruitment costs.

⚡ Competitive Divergence

Watts Water Technologies ($1.81B revenue) actively hiring Sr. AI Developers, launching Nexa IoT platform. Zurn Elkay patenting connected plumbSMART™ systems. Direct competitors remain traditional — but the window is narrowing.

🔧 Integration Complexity

Three brands, three facilities, three product lines — each acquired at different stages of operational maturity. Manual processes multiply with each acquisition. Standardization without AI is slow and expensive.

Bottom Line: AI adoption is not optional — it is a competitive survival requirement.

AI Impact Areas — Where AI Transforms GWBD Operations

SG&A Functions

Finance & Accounting

Automated AP processing across 3 entities · Consolidated financial reporting · Cash flow forecasting across brands

Impact: 25–35% labor reduction · **$350K–$500K value**

Sales & Marketing

Proposal automation for distributor/contractor bids · AI-powered demand sensing · Content generation for 3 brand catalogs

Impact: 30–40% productivity gain · **$600K–$850K value**

Customer Service

AI chatbot for spec sheets, warranty claims, order status · 24/7 contractor support · Inquiry deflection across all 3 brands

Impact: 50–60% inquiry deflection · **$300K–$450K value**

HR & Talent

Recruiting chatbot for multi-facility hiring · Onboarding standardization · Retention analytics across MO & KY plants

Impact: 30–40% faster hiring · **$200K–$300K value**

Legal & Compliance

Contract review for distributor agreements · Regulatory monitoring (lead-free, Buy American) · Acquisition due diligence acceleration

Impact: 25–30% efficiency gain · **$100K–$150K value**

Operations

Production & Quality

Computer vision for brass casting defect detection · Throughput optimization across 3 facilities · Predictive maintenance on CNC and foundry equipment

Impact: 10–15% throughput gain · **$1.2M–$1.8M value**

Supply Chain

Demand forecasting for brass/copper procurement · Inventory optimization across 3 brands · Supplier risk monitoring

Impact: 20–30% forecast accuracy improvement · **$600K–$900K value**

R&D & Engineering

AI-assisted product design acceleration · Patent landscape analysis · New product formulation optimization

Impact: 30–40% faster development cycles · **$400K–$550K value**

Financial Impact — Consolidated AI Value Summary

Function	Annual Value	Timeline
Finance & Accounting	$350K – $500K	6–12 months
Sales & Marketing	$600K – $850K	12–18 months
Customer Service	$300K – $450K	6–9 months
HR & Talent	$200K – $300K	6–12 months
Legal & Compliance	$100K – $150K	9–15 months
Production & Quality	$1.2M – $1.8M	12–24 months
Supply Chain	$600K – $900K	12–18 months
R&D & Engineering	$400K – $550K	18–36 months
TOTAL IMPACT	**$3.75M – $5.5M**	**36 months**

$580K

Avg. Investment Required

$480K–$680K over 36 months

6–9mo

Payback Period

Rapid return on AI investment

913%

3-Year ROI

780–1,046% return range

Implementation Roadmap — Three-Phase Transformation

PHASE 1 · DAYS 1–90

Fast Wins

- Executive AI immersion workshop
- AP/invoice automation across 3 entities
- Sales proposal AI for distributor bids
- Customer service chatbot (spec sheets & warranty)
- AI governance framework & steering committee

Investment: $60K–$90K | **Value:** $150K–$240K run-rate

PHASE 2 · MONTHS 4–12

Scale & Integrate

- Enterprise AI platform across all 3 brands
- Computer vision QC for brass castings
- Supply chain demand forecasting
- Cross-brand sales enablement
- HR recruiting automation for multi-facility hiring

Investment: $180K–$260K | **Value:** $2.1M–$3.2M run-rate

PHASE 3 · MONTHS 13–36

Optimize & Lead

- AI Center of Excellence
- Predictive maintenance across all production lines
- Augmented R&D for new product design
- Distributor self-service portal
- Full cross-brand operational optimization

Investment: $240K–$330K | **Value:** $3.75M–$5.5M run-rate

Risk Management — Key Risks & Mitigations

⚠️ Fragmented Adoption · HIGH

Three brands with different operational cultures. **Mitigation:** Governance framework + Steering Committee + enterprise platform by Month 8.

⚠️ Data Quality Gaps · MEDIUM-HIGH

Three acquired companies likely on different systems. **Mitigation:** Data readiness assessment in Phase 1 · Prioritize high-data-availability use cases first.

⚠️ Change Resistance · MEDIUM

Manufacturing workforce may be skeptical. **Mitigation:** "AI augments, not replaces" messaging · No layoffs commitment · Tiered training for all ~200 employees.

⚠️ Manufacturing Quality Risk · HIGH

AI-assisted QC must not miss defects in safety-critical plumbing products. **Mitigation:** Human-in-the-loop mandatory · Conservative confidence thresholds · Rigorous validation protocols.

⚠️ Vendor Lock-In · MEDIUM

Open APIs · Multi-vendor strategy · Data portability in contracts · Quarterly tech reviews.

⚠️ Cybersecurity · HIGH

SOC 2 / ISO 27001 required for all AI vendors · Private cloud for proprietary casting formulations and product designs · Annual penetration testing.

Enterprise Value — The Valuation Transformation

TODAY

$6.5M EBITDA

× 6.5–7.5x multiple

$42.3M – $48.8M

Current Enterprise Value

- ~$65M revenue
- ~10% EBITDA margin estimate
- Privately held, family-owned

YEAR 3 · POST-AI

$10.3M–$12.0M EBITDA

× 7.5–8.5x premium multiple

$77.3M – $102.0M

Post-AI Enterprise Value

- AI-enabled premium multiple
- 15.8–18.5% EBITDA margins
- Scalable acquisition platform

Enterprise Value Created: $35.0M – $53.2M on $480K–$680K investment

Strategic Optionality

Remain Independent	Attract Strategic Buyers	Scale to $100M–$150M
Improved 15.8–18.5% EBITDA margins and accelerated acquisition cadence	Watts Water, Zurn Elkay, PE platforms at premium multiples	Through acquisitions without proportional SG&A growth

The Choice Is Clear

❌ OPTION A: STATUS QUO

- → Margin erosion from rising input costs
- → Talent attrition in tight manufacturing labor market
- → Valuation stagnation at sub-$50M
- → Integration drag on each new acquisition
- → Competitive gap widens as Watts and Zurn accelerate AI investment

✅ OPTION B: AI TRANSFORMATION

- → $3.75M–$5.5M EBITDA uplift
- → 15.8–18.5% margins
- → $35.0M–$53.2M enterprise value created
- → Scalable acquisition integration playbook
- → First-mover advantage over Woodford, Merrill, and Simmons

Immediate Next Steps — Week 1

1

Day 1–3

CEO convenes leadership across all 3 brands · Secure board endorsement · Commit to 3-year investment plan

2

Week 1

Engage AI consulting partner · Assign Phase 1 lead · Allocate $60K–$90K Phase 1 budget

3

Week 1–2

Company-wide communication: AI as copilot, not replacement · Invite employee input across all facilities

4

Week 2–4

Select 3–4 Phase 1 pilots · Begin Executive Immersion training

> "GWBD has spent 145 years building an American manufacturing legacy. AI is how you scale that legacy to $150M+ — without losing what makes you special."

Dani@ChiefAIOfficer.com · 858-463-1130